

PAYING FOR OUR WATER NEEDS THE \$100 FEE AND THE \$15.6 MILLION PLAN

A project-management and funding review of Grand Lakes MUD No. 2's 10-Year Capital Improvements Plan, obtained under the Texas Public Information Act

TOMAS ALVAREZ

Resident and Ratepayer — Grand Lakes

Electrical Engineer · Engineering Project Management, Rice University · MBA – Finance, University of Houston

THE ONE-MINUTE VERSION. On August 10, 2026 the District produced its 10-Year Capital Improvements Plan in response to a public information request. It is the document this debate has been missing. Three things in it change the conversation. **First, the plan is bigger than the figure quoted in the rate study.** The study describes “the remaining \$11M of projects in your Capital Improvement Plan.” The CIP as revised on the day of the meeting shows Grand Lakes MUD No. 2's ten-year share at **\$15,622,074**. **Second, the proposed \$100 monthly Capital Base Fee does not fund it.** That fee raises \$818,400 a year — about 52 percent of what the plan costs. The study says so itself, and recommends further annual increases if a bond election does not succeed. **Third, this is not one kind of spending.** About three fifths of the plan is long-lived replacement — generators, electrical gear, piping and valves with 20- to 50-year lives. The rest is recurring renewal on 10- to 15-year cycles. Good practice matches the funding term to the asset life, and this brief shows what that costs a household compared with the alternatives. The question is not whether the District needs the money. It plainly does. The question is **which instrument collects it** — because a flat per-connection fee and a property tax raise the same dollars from very different people.

SOURCES: 10-Year Capital Improvements Plan, October 2025, revised 8/3/2026 (produced by the District, Aug 10, 2026) · Simplified Capital Improvement Plan, next two fiscal years · EVO 10-Year Financial Operating Strategy · FY2027 Proposed Budget · verified 2025 tax statements · comparable 2026 Texas district bond sale

1 | WHAT THE PLAN ACTUALLY IS

The Capital Improvements Plan is an engineer-prepared schedule of every plant, lift station, line and piece of equipment the three Grand Lakes districts expect to renew or replace between fiscal 2025 and fiscal 2034. It carries each item's year of construction, its approximate service life, the year the work is proposed, and each district's cost share. It is dated October 2025 and marked **revised 8/3/2026** — the day of the special meeting.

Grand Lakes MUD No. 2's ten-year share, as printed on the plan's own grand-total line, is **\$15,622,074**. The rate study presented the same evening describes "the remaining \$11M of projects in your Capital Improvement Plan." Both figures come from the District. The gap is about \$4.6 million, and it is a reasonable thing to ask about — the study may be citing an earlier revision, or a bond-eligible subset, or a shorter window. The plan itself does not say.



Assumptions the engineer states on the face of the plan. Inflation 3.5% a year. Tariff adjustment factors of 25% on electrical, 20% on steel, 15% on pumps and blowers, 10% on coatings and resin, 6% on chemicals. Lines carry a 20% contingency, and most then add a 15% engineering allowance computed on the contingency-inclusive subtotal — though the storm sewer and wastewater collection sections carry contingency only. Valve surveys and interconnect testing are *excluded* and assumed to sit in the operator's annual budget. And a note that deserves quoting, because it is the honest framing of the whole document: **"This CIP is a budgetary tool and should be reviewed annually to reassess priorities."** (spelling as in the original)

TAKEAWAY

A ten-year capital plan is a planning instrument, not a bill. The District says so on the page. That matters for what follows: a permanent change to the rate order is a harder, longer-lived commitment than the estimate it is being sized against.

2 | THE SHAPE OF THE SPENDING

Capital renewal does not arrive evenly, and this plan is a good example. Most of the wastewater plant dates to 2001 and most of the lift stations to 2000–2006. Assets installed together, with 15- to 25-year lives, come due together. The result is a wave that peaks in fiscal 2029 and stays high for six consecutive years.

Grand Lakes MUD 2 — the ten-year capital plan, year by year

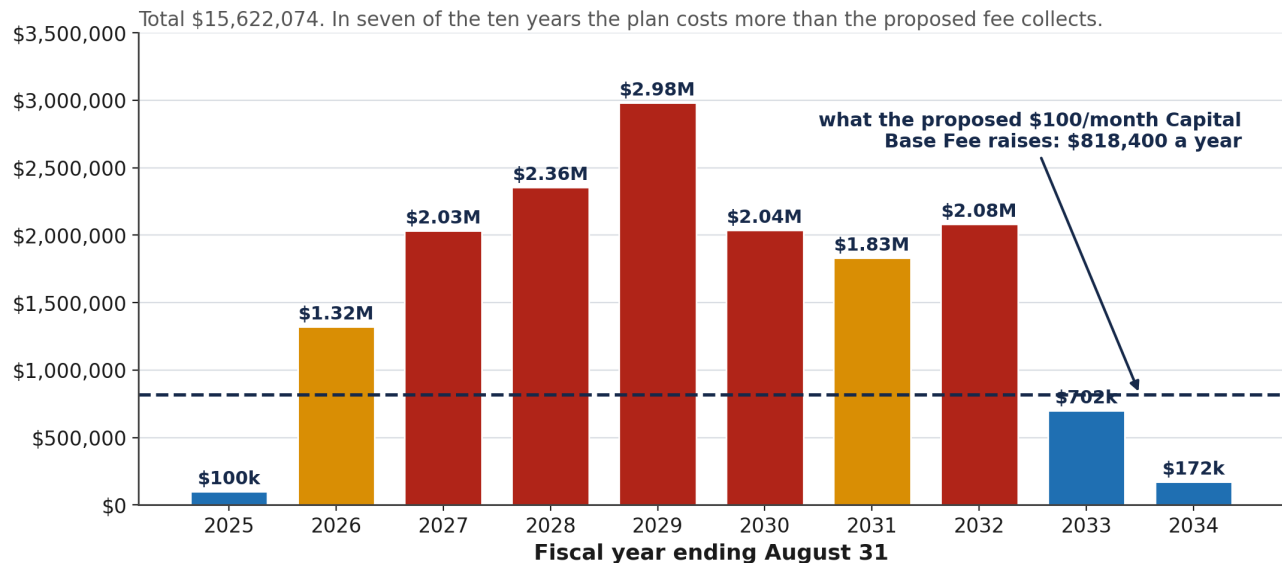


Chart 1 — MUD 2 annual subtotals as printed on the 10-Year CIP grand-total line. The dashed line is the annual revenue from the \$100 per connection Capital Base Fee proposed in Scenario 2.

This is the central operational fact. The plan needs an average of **\$1,562,207 a year**. The fee proposed to pay for it collects **\$818,400 a year**. In seven of the ten years the plan costs more than the fee raises, and in the peak year it costs more than three and a half times as much.

TAKEAWAY

The proposed Capital Base Fee is not sized to the plan it is meant to fund. Over ten years it covers about 52 percent of it, leaving roughly \$7.4 million unfunded. This is not a hidden finding — the study itself recommends "planned annual increases of Capital Base fees" if a bond election does not succeed.

3 | WHAT MUD 2 CONTROLS, AND WHAT IT DOES NOT

A project manager's first question about any plan is which parts are actually within the owner's control. On this plan, they split almost two to one.

Facility or system	10-yr MUD 2 share	MUD 2 cost share	Who decides
MUD 2 lift stations (5 stations)	\$5,687,665	100%	MUD 2 alone
Potable water system	\$2,131,104	100% / 50%*	MUD 2 alone*
Storm sewer collection	\$970,371	100%	MUD 2 alone
Wastewater collection system	\$691,805	100%	MUD 2 alone
Reclaimed water system	\$416,991	38.996%	shared
Wastewater Treatment Plant	\$2,926,288	33.6590%	with MUD 1 and MUD 4
Water Plant No. 1	\$1,514,132	33.1083%	with MUD 1 and MUD 4
Water Plant No. 2	\$1,286,571	33.1083%	with MUD 1 and MUD 4
Portable generator	\$47,187	38.00%	with MUD 1 and MUD 4
Sum of the printed facility subtotals	\$15,672,114		

* The potable-water section mixes district-only items with one shared line — the Fry Road and Peek Road water line replacement, split 25% / 50% / 25%. The rest of the section is MUD 2's alone.

A reconciliation note, offered neutrally. The facility subtotals above add to \$15,672,114. The plan's own grand-total line reads \$15,622,074 — a difference of **\$50,040**. On a working spreadsheet revised the morning of a board meeting this is unremarkable, and it does not change any conclusion here. It is noted because every other figure in this brief reconciles exactly, and a reader is entitled to know which one does not.

TAKEAWAY

About 59 percent of the plan is MUD 2's alone to schedule, scope and defer. The other 41 percent is governed jointly with MUD 1 and MUD 4, whose boards have their own budgets and their own timing. Any promise about when this work happens is only about three-fifths within this District's power to keep.

4 | TWO DIFFERENT KINDS OF MONEY

The plan is usually discussed as one number. It is not one thing. Most lines carry a stated service life, and sorting by that column separates two categories that should be funded in completely different ways.

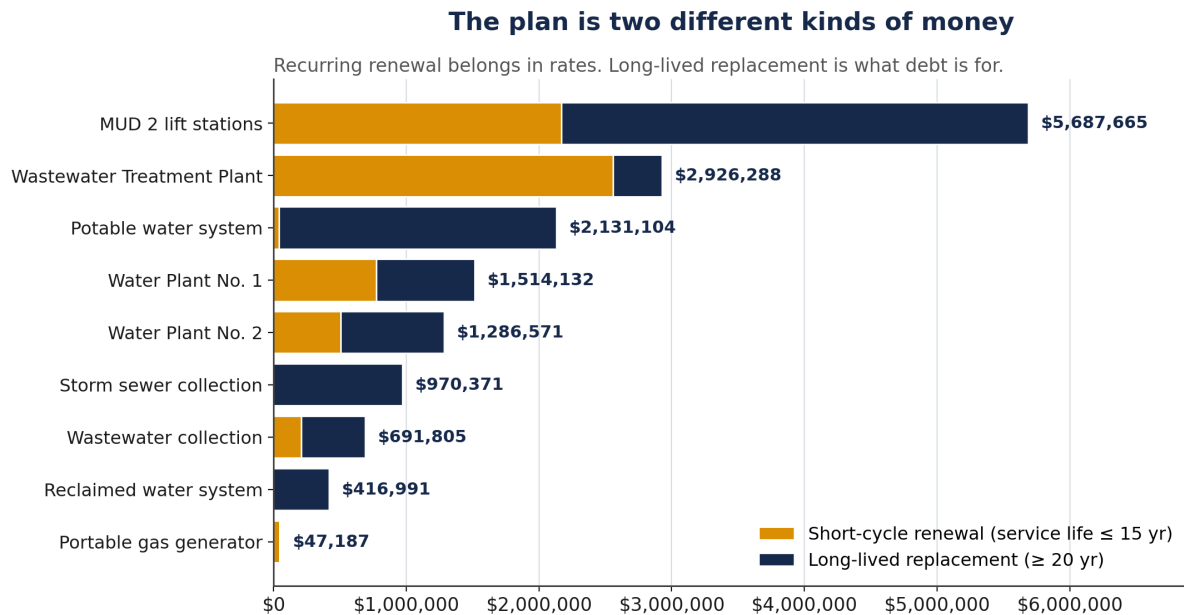


Chart 2 — MUD 2's ten-year share, split by the service life printed against each line item.

Category	What it is	10-yr total	Share
Short-cycle renewal (service life 10–15 years)	Tank and wet-well recoating, pump replacement, well cleaning and televising, control panels, painting	~\$6.3M	40%
Long-lived replacement (service life 20–50 years)	Generators and transfer gear, motor control centres and electrical, piping, valves, well casing liner, manhole and main rehabilitation, plant structures	~\$9.3M	60%

Why the distinction decides the funding question. A ground storage tank coating has a twelve-year life. Financing it over twenty-five years means the District is still paying for the 2027 coating when the 2039 coating and the 2051 coating come due — three obligations stacked on one asset. Recurring renewal belongs in rates, funded through a repair and replacement reserve, precisely because it recurs. The reverse error is just as costly: a 750 kW generator, a motor control centre or a run of buried main lasts twenty-five to fifty years, and charging its full cost to whoever happens to live here in the year it is installed asks today's households to buy an asset that residents in 2050 will still be using. Debt exists to align who pays with who benefits.

TAKEAWAY

Neither “pay for it all in cash” nor “bond it all” is right, and the argument as it has been conducted assumes it must be one or the other. Match the funding term to the asset life: roughly two fifths of this plan belongs in rates, and roughly three fifths belongs on debt.

5 | THE MAY 2026 BOND ELECTION, AND WHAT WAS CONCLUDED FROM IT

The rate study states its own starting point plainly. The baseline “includes all Capital Improvement projects after an **unsuccessful Bond Authorization election in May 2026.**” That failed election is the hinge on which the entire capital-funding proposal turns, and it deserves to be discussed openly rather than assumed.

The study draws a specific conclusion from that result. Its recommendation for Scenario 1 reads:

“Implementation of a \$100 monthly Capital Base fee per connection in fiscal year 2027, **reflecting your resident’s desire to pay for Improvements with cash in lieu of long term bonds.**”

This is the one inference in the whole package worth contesting, and it can be contested respectfully. A failed bond election tells you that a majority of those who voted declined *that proposition, on that ballot, at that time*. It does not establish that the same residents would prefer to pay the same money in cash. Those are different questions, and nobody was asked the second one. A vote against borrowing \$X is not a vote for a \$1,200 annual fee — especially when, as Section 2 shows, the fee as proposed funds only about half the work.

The study is not actually committed to the cash route either. Its recommendation for Scenario 2 is to **“continue to seek support within the District for a successful Bond Authorization Election,”** with rising Capital Base fees as the fallback “if Bond Authorization isn’t successful.” And Scenario 1 already assumes **“the remaining bond authorization will cover \$3.3M in capital projects.”** The District’s own advisers treat debt as the preferred instrument and the fee as the substitute.

Note: the tax lever is already in play. Two versions of the FY2027 proposed budget were produced. The first computes maintenance tax collections as $\$459,413,419 \div 100 \times \$0.128 \times 98\% = \$576,300$. The second computes them as $\$466,651,883 \div 100 \times \$0.130460 \times 98\% = \$596,600$. The later version raises the operations and maintenance tax rate by 1.92% and the tax base by \$7.2 million, for about \$20,300 more. The rate study, meanwhile, assumes throughout that the District “maintains a steady M&O tax rate of \$0.128.” A 1.92% increase sits below the 3.5% voter-approval threshold, so no election is triggered — but it does show the tax rate is already being adjusted alongside the proposed fee.

TAKEAWAY

Everyone in this discussion — the board, the consultants and the residents — appears to agree that bonds are the better instrument for long-lived plant. The disagreement is about how to win an election, not about what is sound. That is a much more solvable problem, and it starts with showing residents the comparison on the next three pages, which was not in the material presented on August 3.

6 | FOUR WAYS TO PAY FOR THE SAME \$15.6 MILLION

The four options below all fund *the same plan*, sized on the same base — the printed ten-year total of \$15,622,074. They differ only in the instrument. Every figure is per month for the same verified household: a home with \$355,035 of taxable value, taken from an actual 2025 tax statement rather than an average.

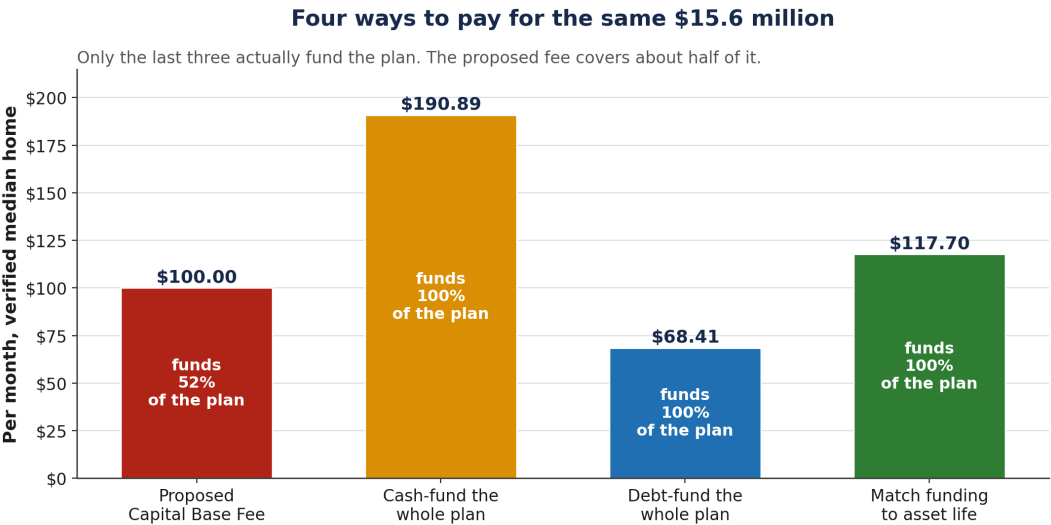


Chart 3 — Monthly cost to one verified median household under each route. Debt at 4.25% over 25 years; see appendix.

Route	Raises	Median home / month	Funds the plan?
Capital Base Fee as proposed (\$100/connection)	\$818,400 / yr	\$100.00	No — 52%
Cash-fund the whole plan from a fee	\$1,562,207 / yr	\$190.89	Yes
Debt-fund the whole plan (25 years)	\$1,057,395 / yr	\$68.41	Yes
Match funding to asset life (recommended)	\$1,260,549 / yr	\$117.70	Yes

Read the third row honestly. Debt-funding everything is the cheapest monthly number here, but partly because it stretches ten years of spending across twenty-five and defers cost to people who have not moved in yet. It also costs the most in total: about **\$26.4 million**, roughly \$10.3 million of it interest. Interest is not a trick — it is the price of matching payment to benefit — but it should be stated, and the August 3 material did not state it either way.

The fourth row is the recommendation. Fund the roughly \$6.3 million of short-cycle renewal from rates — about \$76.82 per connection per month on the study’s own connection basis — and the roughly \$9.3 million of long-lived replacement with debt at about **\$0.1382 per \$100** of taxable value, or \$40.88 a month on the verified home. Together, \$117.70. It funds the whole plan, avoids financing a coating three times over, and — as the next page shows — changes who pays.

TAKEAWAY

Compared like for like — fully funded against fully funded — the choice is between \$190.89 a month on a flat fee and \$117.70 a month under matched funding, for the same work. The proposed \$100 fee is not cheaper than either; it is smaller because it does less.

7 | WHO ACTUALLY PAYS

This is where the instrument matters most, and it is the part of the comparison that was missing entirely from the August 3 presentation. A flat fee per connection and a property tax raise the same dollars from different people, in different proportions.

Same capital dollars — who the bill lands on

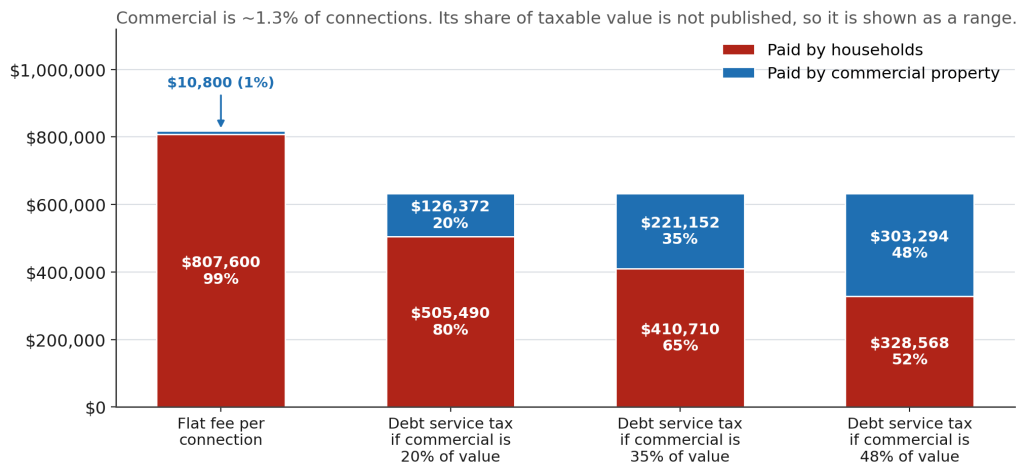


Chart 4 — Annual capital dollars by payer. Because the District has not published the commercial share of taxable value, it is shown as a range rather than asserted as a figure.

Connections. The August 3 handout's residential table lists **679 meters**; its commercial table names **nine** customers — Walgreens, Firestone, Chase Bank, McDonald's, Jason's Deli, a strip centre, Home Depot, an elementary school and a car wash. That is about **1.3%** of roughly 688 connections. The District has not published a count; the study's \$818,400 divided by \$1,200 implies 682, which does not reconcile with 679 plus nine. That gap deserves its own question, but the order of magnitude holds: **commercial is around one percent of connections.**

Value. The District's taxable value is **\$466,651,883**. What proportion is commercial is not stated anywhere in the production, and this brief does not assert a figure. It does not need to: at any commercial share above about one percent, a tax bills commercial property more heavily than a per-connection fee does. A flat fee charges by connection, so commercial contributes roughly \$10,800 a year out of \$818,400. A tax charges by value. Raising the same \$631,862 of long-lived debt service either way, moving from a per-connection basis to a tax shifts somewhere between **\$118,000 and \$295,000 a year** off households, depending on that share.

A question this brief cannot answer, and the Board can. What proportion of the District's \$466,651,883 of taxable value is non-residential? That single line from the appraisal roll determines exactly how much of the capital programme a tax would move off households.

TAKEAWAY

Home Depot appears as a single customer in the study's commercial table. Under a \$100 flat Capital Base Fee it would contribute \$1,200 a year toward the plant — the same as a starter home. Under a debt service tax it contributes in proportion to its value, like every homeowner does. This is not a complaint about any business; it is a statement about which instrument the District chooses.

8 | WHAT IT MEANS FOR ONE HOUSEHOLD

Within the residential community the two instruments also land differently, because one is flat and the other is proportional to what your home is worth.

A flat fee charges the same to every house

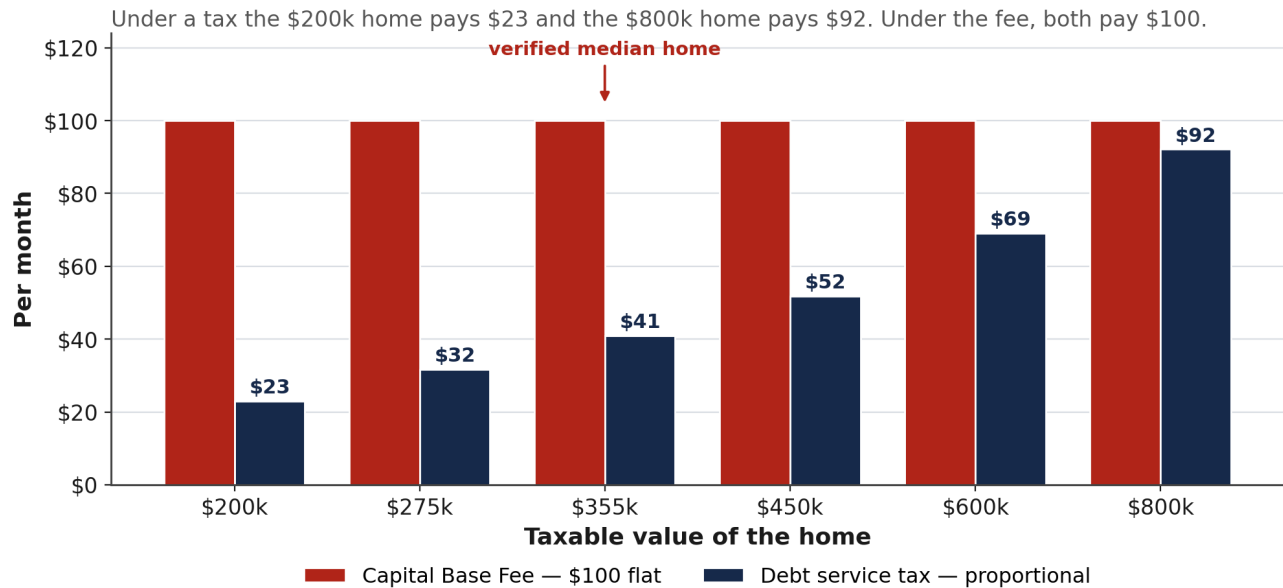


Chart 5 — Monthly cost of the long-lived portion of the plan, flat fee versus debt service tax, by taxable value of the home.

Under the flat fee every household pays \$100, whether the home is worth \$200,000 or \$800,000. Under a debt service tax the \$200,000 home pays \$23.03 and the \$800,000 home pays \$92.11. The break-even is a home with about **\$868,000** of taxable value — well above anything in this community. **Every household below that line pays less under the tax.**

The deductibility point

A district property tax is deductible on Schedule A for households that itemise; a utility fee is not. The 2026 state and local tax deduction cap is \$40,400, phasing down above roughly \$505,000 of modified adjusted gross income and reverting to \$10,000 in 2030. For a household that itemises and sits under the cap, the \$40.88 monthly tax on the verified median home is worth about **\$31.07 after tax at a 24% marginal rate**. The \$100 fee is \$100 at every marginal rate, for everyone.

The honest caveat: most households take the standard deduction and capture none of this. It is a real advantage, but it is not universal, and it should not be oversold.

TAKEAWAY

For the great majority of homes in Grand Lakes, funding long-lived plant through a debt service tax costs less per month than the proposed flat fee — before the deduction, and materially less after it for households that itemise.

9 | READING THE ESTIMATES

Nothing in this section suggests the numbers are wrong. They are budgetary estimates prepared to a stated method, and the method is disclosed on the face of the plan. But a reader looking at a single line can badly misread what it represents, and one line makes the point better than any explanation.

The portable generator — how a \$47,187 line is built

The plan shows “Portable Generator” with a MUD 2 share of **\$47,187**. That is not the price of a generator. It unpacks like this:

Component	Amount	Note
Equipment / construction, 2025 dollars	\$84,000	Portable 56 kW unit, shared by all three districts
Contingency at 20%	\$16,800	Applied throughout the plan
Engineering at 15%	\$15,120	Applied to most, but not all, sections
Total, 2025 dollars	\$115,920	Soft cost is 27.5% of the line
Escalated to FY2027 at 3.5% for two years	\$124,176	Matches the printed 2027 subtotal
MUD 2 share at 38%	\$47,187	MUD 1 pays 24%, MUD 4 pays 38%

So MUD 2’s share of the actual machine is about **\$34,194**, and about **\$12,994** is its share of contingency and engineering. Applied across the plan — 20% contingency, then 15% engineering on the contingency-inclusive subtotal for most sections, and the 20% alone for storm sewer and wastewater collection — these allowances account for roughly **\$4.12 million** of MUD 2’s \$15.62 million. The construction and equipment content is about **\$11.50 million**.

Three fair questions this line raises. (1) An \$84,000 estimate for a towable 56 kW unit sits at the upper end of the market; what does it include? (2) A 15% engineering allowance is appropriate for designing a plant rehabilitation, but this is a catalogue equipment purchase — what design work does it cover? (3) The plan describes the same item as a “Portable Natural Gas Generator” in the section heading and a “Portable 56 kW Diesel Generator” on the line itself, and footnote 7 states shares of 23 / 38 / 38, which sum to 99%, while the sheet applies 24 / 38 / 38. These are small things. They are the kind of small things that get cleaned up when someone reads the document, which is the argument for producing it publicly.

The sequencing question

Alongside the shared portable unit, four of MUD 2’s five lift stations each get a “Manual Transfer Switch and Cam Lok Fittings (for Portable Generator)” in fiscal 2027, at \$22,174 each — **\$88,696** in total. Every one of those four stations then receives its own **permanent** natural gas generator between 2029 and 2032. The portable is a three- to five-year bridge. That may well be the right call, since the alternative is four years of exposure. It is worth asking out loud, because \$135,883 of fiscal 2027 spending rests on it.

TAKEAWAY

The plan is competently built and its method is disclosed. But roughly a quarter of the total is contingency and engineering, and a reader who assumes a line item is a purchase price will misjudge both the cost and the room to negotiate it. This is exactly the sort of scrutiny an annually reviewed budgetary tool invites.

10 | WHAT TO ASK THE BOARD

These are questions, not accusations. Each one is answerable from documents the District already holds, and each one would improve the decision regardless of which way it goes.

1

The \$11M and the \$15.6M

The rate study refers to “the remaining \$11M of projects in your Capital Improvement Plan.” The CIP revised 8/3/2026 shows MUD 2’s ten-year share at \$15,622,074. Which figure was the rate scenarios sized against, and what accounts for the difference?

2

Sizing the Capital Base Fee

At \$100 per connection the fee raises \$818,400 a year against an average annual need of \$1,562,207. Over ten years that is roughly \$7.4 million short. What is the intended path for the remainder, and what would the fee have to reach by 2034 under Scenario 2?

3

The two versions of the study

Two versions of the EVO 10-Year Financial Operating Strategy were produced, requesting identical amounts but projecting materially different outcomes — Scenario 1 reserves rising to 10.3 months in one and 8.5 in the other. What changed in the assumptions between the June 15 and August 3 presentations?

4

Cost of service

The production contains no cost-of-service analysis. Was one prepared, and if not, what method allocated costs between water, wastewater and garbage, and between residential and commercial classes?

5

The bond alternative, priced

Before adopting a capital fee, will the Board publish the side-by-side this brief attempts — annual cost to a median household under a debt service tax versus a flat fee, including the share borne by commercial property, and the commercial proportion of taxable value?

6

Remaining authorization

Scenario 1 assumes remaining bond authorization covers \$3.3M of projects. How much authorization remains in total, for what purposes, and when does it lapse?

7

Matching term to asset life

Would the Board consider a split approach — recurring renewal on a service life of fifteen years or less funded from rates through a repair and replacement reserve, and longer-lived replacement funded with debt?

TAKEAWAY

The District needs this money, and the plant is genuinely reaching the end of its first service life. **What this brief does not claim:** that the District is spending money it does not need, that the estimates are inflated, that anyone has acted improperly, that a bond election would pass, or that debt is free. It claims one thing — that this comparison should have been in front of the community before a permanent capital fee was proposed, and that it can still be put in front of the community now.

A | METHOD, ASSUMPTIONS AND SOURCES

Every figure traces to a document produced by the District or to a public record. Where a figure is derived rather than printed, the derivation is given here so any reader can check it. **Sources:** produced by the District on August 10, 2026 under the Texas Public Information Act (Tex. Gov't Code ch. 552) — 10-Year Capital Improvements Plan, October 2025, revised 8/3/2026; Simplified Capital Improvement Plan, next two fiscal years; EVO 10-Year Financial Operating Strategy – FY 2025, both produced versions; Proposed Budget for the fiscal year ending August 31, 2027, both produced versions; notice of the special meeting of August 3, 2026. Also relied on: Texas Water Code ch. 49; 30 Tex. Admin. Code ch. 293, subch. E; the Oakmont Public Utility District Series 2026 official statement; and 2025 tax statements for a Grand Lakes MUD No. 2 homestead.

Reconciliation

MUD 2's fiscal 2027 total was rebuilt from its components as a check on the extraction: Water Plant No. 1 at 33.1083% of \$594,350 = \$196,779; WWTP at 33.6590% of \$1,956,146 = \$658,420; Lift Station No. 1 rehabilitation at 100% = \$986,759; four transfer switches \$88,696; portable generator share \$47,187; storm \$10,926; wastewater collection \$23,138; reclaimed water \$23,059. Total **\$2,034,964** against the printed \$2,034,966 — a two dollar rounding difference. The ten annual subtotals sum to \$15,622,075 against a printed grand total of \$15,622,074 — one dollar, and the plan's own rounding.

Debt assumptions

Level debt service at **4.25% over 25 years**, plus 3% for issuance costs and discount. All four funding routes are sized on the same base, the printed ten-year total of \$15,622,074. The rate is benchmarked to a comparable contemporaneous sale: **Oakmont Public Utility District (Texas), \$3,715,000 Unlimited Tax Utility Bonds, Series 2026, dated June 1, 2026**, competitively bid and insured, at a net effective interest rate of **4.230055%**. That is a benchmark, not a quotation; MUD 2's actual cost would depend on its rating, insurance, structure and the market at sale. Tax rates are computed against the stated taxable value of \$466,651,883 at 98% collection, consistent with the FY2027 budget footnote.

Household figures

The "verified median home" is a real property with \$355,035 of taxable value after the District's 20% homestead exemption, from an actual 2025 statement rather than an average. No address, account number or owner name appears anywhere in this brief.

Classification

Line items were sorted using the **Approximate Service Life** column printed on the plan: fifteen years or less is short-cycle; twenty or more, and ranges such as 20–25 and 30–50, are long-lived. **Items with no stated life are treated as short-cycle** — the conservative choice, since it shrinks rather than inflates the portion this brief argues should be financed. Seventeen items carry no usable life, including all bypass pumping and the transfer switches, which are temporary services rather than assets; two further cells read "2025" in the life column, a data-entry error. Four sections are not itemised line by line; there the split follows the service lives on their sheets, applied as a section fraction. **The result is an estimate, quoted as approximately \$6.3 million and \$9.3 million rather than to the dollar.** It is a judgement about funding practice, not a statement by the District.